CONFIDENTIAL INTERNAL COMMUNICATION
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POLICY NUMBER: FP-OPSFIN-144

# Tenant Leases & Concessionaire Agreements

This policy details the key requirements that must be complied with when entering into a contractual relationship with a Third Party tenant or concessionaire on property. This policy also details the control requirements over the contractual terms of the tenant lease or concessionaire agreement.

# POLICY STATEMENT

A tenant or concessionaire is a Third Party who leases space or to whom a concession has been granted to operate a business or service at the Hotel.

Examples include: Hairdresser, Car Hire/Rental Car Agency, Gift Shop, and Mobile Phone Masts/Roof Top Antenna. Any questions regarding the legal interpretation of the contract terms are to be referred to Corporate Legal or to the Hotel's local legal counsel.

All tenants or concessionaires must have a written contract with the Hotel, which complies with local legal regulations and FP-OPSFIN-146 Hotel Operations Contract Execution & Spending Policy.

# APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these Hotels).

# EXCLUSIONS/EXCEPTIONS

No exclusions.

# A. TENANT OR CONCESSIONAIRE CONTRACT GUIDANCE

1) The Hotel should conduct due diligence before committing to a tenant or concessionaire contract, including financial solvency and background checks.

2) Where possible, include a deposit requirement in the agreement and in accordance with local legislation and practices. This deposit must include all applicable taxes and should be held for the contractual term with the understanding that this amount may be required to be returned at a later date if all contractual requirements are met.

3) The rent amount or the concession(s) must be clearly stated in the contract.

4) The amount of the rent or concession(s) is to be consistent with local market prices or practices.

5) All agreements with terms other than fixed rent must include language (unless prohibited by local law) that the Hotel reserves the right to audit the Third Party's books and/or the Third Party must provide financials audited by an external accounting firm to the Hotel upon request.

6) If additional services are provided to the Third Party, including internal Hotel services, such as meals in employee cafeteria, housekeeping services, security, etc., then the billing terms must be clearly stated in the contract.

7) If utilities are to be shared with the Third Party, then separate meters are to be installed and the Third Party is to be charged based on actual usage and at the price that the Hotel themselves pays. If installing separate meters is not practical, then the contract must clearly state the method for calculating the utilities and this must include a provision for adjusting the amount billed when the utility rates change. Utilities are not to be included in the base rent or concession amount,but are always to be charged separately.

8) Wherever possible, the Third Party is to make arrangements for telephone and internet lines. If there is no alternative other than the Hotel to provide these services, then the following must occur:
   a. The Third-Party phone line should be treated as an administration phone line and billed to the Third Party monthly.
   b. Internet access can only be provided if it is on a separate network other than the Hotel's network. If the Hotel cannot do this, then it cannot offer internet to the Third Party.

9) Agreements must require the Third Party to obtain insurance policies naming the applicable Owner, Hotel, and/or Hilton entity as additional insured parties on the policies. The Finance Leader or General Manager is responsible for ensuring that Certificates of Insurance (COIs) evidencing such coverage are obtained and are kept current.

10) Operating hours must be clearly stated in the agreement. The Hotel should maintain the right to set minimum operating hours for the Third-Party business to offer their goods and/or services to guests daily.

11) The goods and/or services offered by the Third Party are to be clearly stated in the agreement and the Hotel should maintain the right to approve any changes to these goods and/or services.

12) The agreement must clearly state which party is responsible for leasehold improvements, repairs, and maintenance to the space being used by the Third Party.

13) The agreement must include language giving the Hotel the right to relocate the Third Party to another area of the Hotel on either a temporary or permanent basis.

14) The Third Party is required to abide by the Hotel's standards or house rules and this must be outlined as a term in the agreement. A written copy of the Hotel's standards or house rules must be given to the Third Party.

15) Any changes to the agreement(s) are required to be in the form of a written amendment, signed by the Tenant or Concessionaire and the required Hotel representative per FP-OPSFIN-146 Hotel Operations Contract Execution & Spending Policy.

# B. TENANT OR CONCESSIONAIRE ACCOUNTING GUIDANCE

1) Fixed rent must be accounted for on an accrual basis each month.

2) Percentage rent must be accounted for on an accrual basis each month when it can be reasonably ascertained and there is a strong likelihood of realization.

3) All calculations of percentage rent and additional services included in the contract must be reviewed and approved by the Finance Leader or General Manager prior to billing the Third Party, as evidenced by signing and dating the bill or calculation.

4) Utilities and additional services provided are the Hotel's obligation regardless of any leasing arrangement, the Hotel is therefore principal and not agent with the related parties providing those services. Thus, for any services provided by the Hotel, revenue should be recorded for the amounts billed to the Third Party.

5) The agreement must define the mechanism for charging either directly or indirectly to the client's account (i.e., room or Accounts Receivable account). If guests are permitted to charge back to their room or Accounts Receivable account at the Third Party's outlet, an administrative charge should be considered by Hotel Management to cover credit card commission and collection. Further, the agreement must clearly define how adjustments and allowances to guest charges will be treated.

6) For agreements that include terms other than fixed rent, the Third Party is required to submit a sales report signed by an external independent accounting firm and/or CPA at the end of each lease year or the Hotel must audit the Third Party's books with respect to sales. Such an audit may be performed by the Finance Leader or General Manager or by an external audit firm hired by the hotel. The Finance Leader should ensure that the audit steps performed are sufficient to substantiate that sales have been properly reported to the hotel. If this requirement is not feasible, the property must assess and document their understanding of the risk of non-compliance with this point.

7) If the Third Party wishes to utilize the Hotel's safety deposit boxes, use the Hotel's drop safe, or participate in the Hotel's cash control activities in any other way, Hotel Management must document the Third Party's request and obtain approval from the Regional Finance Director via a policy waiver. In addition, the Hotel must have the Third Party complete a waiver of rights against the Hotel and must abide by all applicable Operations Finance policies and local Hotel procedures.

8) A summary of all tenant leases and concessionaire agreements must be maintained by the property on the Critical Contracts, License, Permit, & Tenant Listing. This listing is required to be updated as soon as any changes to critical terms of the agreements occur and should be reviewed at least annually.

9) All original copies of the lease or agreement are to be held by the Finance Leader or General Manager in a secure location. Copies may be given to any relevant Department Head.

# DEFINITIONS

| TERM/ACRONYM | DEFINITION |
|---|---|
| **Finance Leader** | Ranking Accounting / Finance representative for the property (i.e. DOF, Controller, or Finance Manager). |
| **Regional Finance Director** | Team Member responsible for the Accounting / Finance functions of a set of Hotels. Property Finance Leader has a direct or indirect reporting relationship to this individual. |